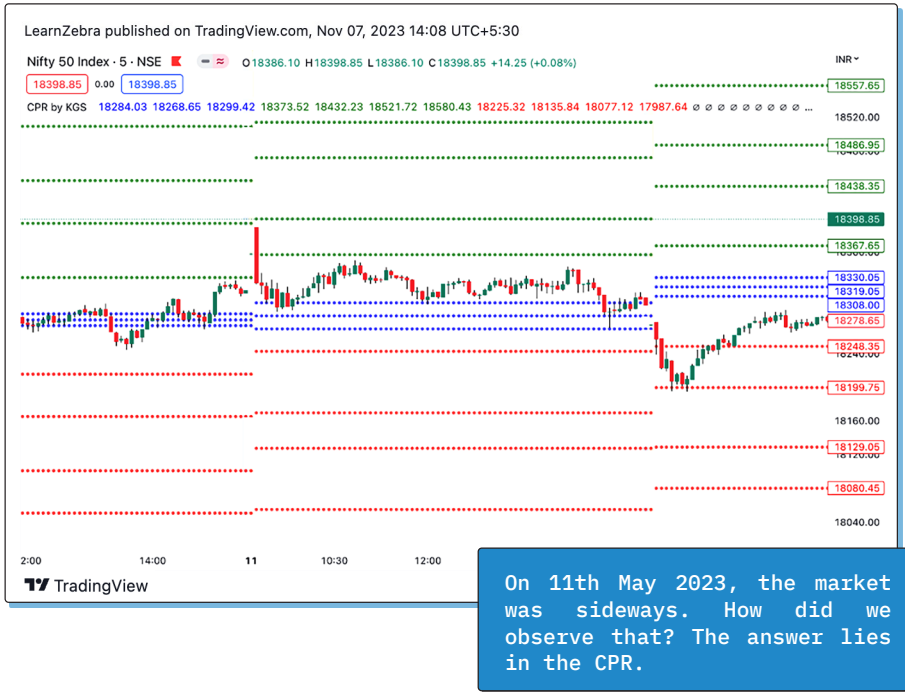


CENTRAL PIVOT RANGE

The Central Pivot Range is an extension of the Pivot Points. We have already discussed the importance of pivot points in trading. Now let us look at some observations by seasoned traders on the Central Pivot Range.



Support

Pivot Points

Resistance

The CPR is formed with 3 major lines. I.e. top central pivot, central pivot, and bottom central pivot. The support and resistance stay the same as the pivot point standards. According to observations, it is believed that when the CPR is narrow (as shown in the above picture), the market has a higher probability of trending. On the other hand, if the CPR is wide, there is a probability of the market staying range bound.